

# 6

## Adapt Your Value Proposition



VALUE

One of the long-standing industries most severely affected by the digital revolution is the recorded music business. It is now bouncing back—but after some brutal mistakes and a steep decline in the early years of the Internet. A look back at that history may be instructional as businesses consider the future.

In 1993, an industry body called the Moving Pictures Expert Group publicly released a new technical standard that would allow for effective compression of the audio portion of motion pictures, what came to be known as the MP3 format. This new format allowed musical recordings to be compressed into much smaller digital files, with minimal loss in audio quality for the listener. That same year, the first popular Web browser (Mosaic) launched the World Wide Web as a mass medium for communication. The opportunity created by the two in combination was unmistakable. For the first time, it would be possible to transmit music recordings in digital format, almost instantly, and to store them effectively on the disc drives of that era's computing devices.

For the music industry, this opened the door to an incredible range of new value that could be offered to music customers. With digital files and distribution, record labels could offer customers instant access, a vast selection of music unencumbered by the limits of a physical store, and the ability to pick and choose just the album or even just the songs they wanted. But instead of offering any new value to customers, the music industry, as represented by the Recording Industry Association of America (RIAA), pretended nothing had changed. Actually, the RIAA did take one step: it sued the companies trying to create the first portable devices for storing and playing MP3 files.

There are many possible lessons to draw from the dramatic decline of the recorded music industry from 1999 to 2012, as worldwide sales dropped from roughly \$28 billion to \$16 billion.<sup>1</sup> One of the starkest, though, is that if your business does not take advantage of a new opportunity to offer value to your customers, someone else will.

In this case, that someone was a start-up called Napster. Launched in 1999, Napster offered a peer-to-peer service for swapping MP3 music files over the Internet, with no payment to the copyright holders whatsoever. Yes, it was illegal. But the value proposition was irresistible for many customers. On the one hand, they had the RIAA, offering them great recordings of their favorite music. On the other hand, they had Napster, offering them all those same great recordings, plus instant access over the Internet, a selection that outstripped that of any physical retail store, and the ability to find and choose just the songs they wanted—and, oh yes, it was all free.

After four years of punishing declines in sales, the major record labels agreed to let Steve Jobs and Apple enter the market with a competing offer: the iTunes Store, a legal MP3 superstore linked to Apple's recently launched portable player, the iPod.

MP3 players were niche products until the iPod, and even afterward, MP3 owners lacked an easy way to legally purchase music. With Apple's design and branding savvy, combined with the RIAA's deep catalog of popular music, the iTunes Store became the first mass-market platform for legal digital music sales.

Suddenly, a new value proposition was available to customers besides the RIAA's compact discs in retail store bins and Napster's illegal digital cornucopia. With iTunes and an iPod, customers could reap all of the benefits of a service like Napster, except the free price, but with an entry price point so low (\$0.99 for one song) as to seem negligible. In addition,

|                                   |  | <br>1999 | <br>2003 |
|-----------------------------------|-----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| Great music                       | ×                                                                                 | ×                                                                                         | ×                                                                                         |
| Instant access                    |                                                                                   | ×                                                                                         | ×                                                                                         |
| Vast selection at your fingertips |                                                                                   | ×                                                                                         | ×                                                                                         |
| Choose the songs you want         |                                                                                   | ×                                                                                         | ×                                                                                         |
| Free                              |                                                                                   | ×                                                                                         |                                                                                           |
| Popular portable device           |                                                                                   |                                                                                           | ×                                                                                         |

Figure 6.1  
Three Value Propositions: Recorded Music.

they were offered the first real lifestyle-branded digital music device and store, with a pleasing and intuitive user interface that made iTunes accessible even to those who had no idea what peer-to-peer file sharing meant. (See figure 6.1.)

From its opening in 2003, the iTunes Store grew quickly, while sales of physical music formats continued to drop. Gradually, the industry’s misery lessened until 2012, when global music sales finally bottomed out, and even posted a modest upward tick on the back of iTunes and other online services (such as streaming, the next growing trend). “At the beginning of the digital revolution it was common to say that digital was killing music,” Edgar Berger, CEO of Sony Music International, commented to the *New York Times*. Since 2012, he says, “digital is saving music.”<sup>2</sup>

The RIAA’s desire to resist the evolution of its industry was understandable. It was sitting on a streak of record-breaking profits with its existing business model of selling compact discs. But in 1993, it was already clear that this business model was unsustainable in the Internet era. By waiting as long as possible to adapt what it offered to customers, the music industry trained millions of young listeners to expect digital music to be free and delayed putting in place an effective strategy for dealing with the changes coming to the industry.

Rethinking Value: What Business Are You In?

The fifth and final domain of digital transformation is your business's value to its customers. Traditionally, a company's value proposition has been treated as fairly constant, ideally a source of sustained competitive advantage for the long haul. Successful businesses found a differentiated offer, used it to position themselves in the marketplace, and then did their best to optimize that business model for as long as possible. But in the digital age, unswerving focus on executing and delivering the same value proposition is no longer sufficient. (See table 6.1.)

Think of the real estate business, which went relatively unchanged for decades. Real estate agents were essential brokers between home sellers and purchasers. With the arrival of the Internet, the core value of the broker—providing access to listings of homes on the market—vanished. With transparency of information online, buyers and sellers no longer needed a middleman just to find each other. The real estate broker could have gone the way of the travel agent, made superfluous for most customers and transactions. But, instead, real estate firms adapted by finding new ways to add value for home buyers and sellers. Modern brokers go beyond providing tools for searching for just the right listing (including mobile apps with customizable searches and geolocation alerts to “open house” events near you). They use digital tools to curate all sorts of information for home buyers who are comparing neighborhoods (maps, video tours, information on schools, and online forums to see how residents rate a suburb's

Table 6.1  
Value: Changes in Strategic Assumptions from the Analog to the Digital Age

| From                                                 | To                                                     |
|------------------------------------------------------|--------------------------------------------------------|
| Value proposition defined by industry                | Value proposition defined by changing customer needs   |
| Execute your current value proposition               | Uncover the next opportunity for customer value        |
| Optimize your business model as long as possible     | Evolve before you must, to stay ahead of the curve     |
| Judge change by how it impacts your current business | Judge change by how it could create your next business |
| Market success allows for complacency                | “Only the paranoid survive”                            |

pros and cons). They have become expert advisors, using blogs and social media to share information on how to decide when to list your home, what closing a credit card does to your credit score, and FAQs on titles and liens. To survive in the digital age, brokers have shifted from being a gatekeeper of home listings to becoming a resource for buyers and sellers in a high-stakes decision process.

Every business today should follow the example of the real estate broker. Instead of defining its job by what its industry has done in the past, your business must define its job to match your customers' ever-changing needs. It should judge each new technology not by how it impacts your current business model, but by how it might create your next one. You need to constantly examine the core value your business offers to customers and ask these questions: Why does my business exist? What needs does it serve? Are they still relevant? What business am I really in?

This chapter explores how businesses manage to adapt their value proposition, why every business should adapt before it needs to, and why many firms fail to do so. It compares different concepts for thinking strategically about your value to the market. And it examines the organizational barriers that may be preventing your business from adapting how it serves customers. This chapter also presents a strategic planning tool: the Value Proposition Roadmap. This tool allows any business to identify its key customer types, define the elements of its value proposition for each customer, identify potential threats, and develop new offerings to deliver value in a rapidly changing environment. By expanding the business's focus beyond current revenues and near-term profits, this tool gives incumbents the opportunity to identify new sources of value in the face of emerging threats.

Let's start, though, by defining the fundamental challenge of maintaining growth when your industry is under attack.

### Three Routes Out of a Shrinking Market Position

There may be many reasons that businesses face a declining market. New technologies can bring rapid changes in customer needs, the appearance of substitute offerings, or a decline in the relevance of a once-valued product or service. In some cases, product innovation and marketing can rejuvenate growth in a business or even an entire industry. But in other cases, businesses find themselves in a truly constrained market position, where their

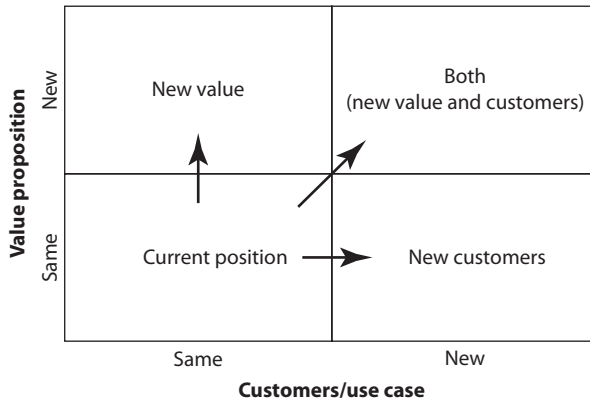


Figure 6.2  
Three Routes Out of a Shrinking Market.

current offering and their current customers show almost no chance for continued growth.

What options exist for such a business? Igor Ansoff proposed two general dimensions for growth: new versus existing products and markets.<sup>3</sup> For a business whose current product-market mix is trapped in decline, we can adapt his Ansoff Matrix to help identify three routes out of a shrinking market (see figure 6.2). Let's look at the dynamics and challenges of each route.

### *New Customers (Same Value)*

The first route out of a shrinking market is to find new customers to buy your same offering. This can be extremely difficult in an era where markets are already relatively flat and open (with even small businesses using digital communications to sell around the world). But in some cases, creative thinking can identify a new customer or use case for the same value that your business has been offering.

Like many paper manufacturers, Mohawk Fine Papers found itself in a declining market at the start of the twenty-first century as the rise of digital communications enabled customers to reduce their use of paper. Founded in 1931, the firm had built its business selling high-quality paper to large corporations like GE and Exxon Mobil for use in annual reports and other glossy corporate brochures. Mohawk found its market declining severely

as its traditional customers relied more on digital communications. The shift accelerated once the Securities and Exchange Commission started allowing firms to submit financial reports digitally and the New York Stock Exchange stopped requiring that annual reports be printed for shareholders (these had made up a third of Mohawk's revenue). Mohawk's management led a turnaround by finding a new type of customer that could make use of their fine-quality papers: online stationery services. With the growth of websites for printing photos, greeting cards, and business cards, the firm convinced companies like Shutterfly.com and Moo.com to try offering the kind of high-quality papers that were Mohawk's specialty. Stationery consumers took to them immediately, happily paying extra for paper that gave their materials a look and feel of real quality. Within a few years, Mohawk's sales to online businesses had increased dramatically, offsetting the loss of its old customers and putting the company back on steady footing.<sup>4</sup>

Around the same time, Salt Lake City newspaper *The Deseret News* found itself facing a declining market, just like many other smaller urban newspapers across the United States. After thriving for 150 years, the paper was losing two kinds of customers: reader subscriptions were slipping, and advertisers were fleeing for cheaper opportunities to advertise on the Web. The *News*' classified ad revenues fell 70 percent from 2008 to 2010 as advertisers shifted to free sites like Craigslist and national portals like Monster.com. As the owners struggled to reverse the fortunes of their print newspaper, they looked to see if they might be able to sell their same product to new customers besides Utah residents. They realized that the paper's unique focus on a set of core issues—the Mormon faith, family, care for the poor, and the impact of mass media on social values—could resonate with a national audience of readers who shared similar values and concerns. The paper launched a new weekly print edition for subscribers outside of Utah in 2009. By 2012, *Deseret's* total print circulation had doubled, to 150,000 readers nationwide, with growth in advertising revenue that made it one of the fastest-growing print papers in the United States.<sup>5</sup>

There are often limits, though, to how many new customers can be found for a value proposition that is losing relevance in its existing market. If a new customer base is found, it may simply be a smaller niche that has a unique reason to remain loyal while the larger customer base departs.

Westfield, Massachusetts, was home to forty different companies that manufactured whips for the horse-and-buggy industry in the nineteenth century. With the rise of the automobile, the buggy industry that supported whip manufacturers vanished. One whip maker, Westfield Whip, managed

to survive by shifting its focus to new customers in the livestock industry as well as those involved in horse riding and dressage competitions. Although the company managed to find enough new customers to continue selling whips into the twenty-first century, the other thirty-nine whip makers in Westfield did not.<sup>6</sup>

### *New Value (Same Customers)*

The second route out of a shrinking market is to continue serving your same customers but to adapt your value proposition to stay relevant to their changing needs. This is what the recorded music industry did once it begrudgingly teamed up with Apple to launch the iTunes Store for music consumers. It's also what real estate agents have done as they continually find new ways to stay relevant to home sellers and buyers.

Adapting its value proposition requires a business to be willing to depart from what has brought it success in the past. When faced with a decline in relevance and demand for its offerings, a business must resist asking “How can I get my customers to still pay me?” and instead ask “How can I become as valuable to my customers as I used to be—or more so?”

Remember the story of *Encyclopædia Britannica* from chapter 1. When, after two centuries, sales of the printed encyclopedia began to drop with the arrival of personal computers, the company knew it wouldn't survive by looking for new customers to buy its existing product. Instead, Encyclopædia Britannica, Inc. tried to reinvent the value it offered while staying rooted in its mission to bring expert, fact-based knowledge to the public. This led to experiments with a CD-ROM encyclopedia, then a free online version with advertisements, and, finally, a successful new offering: a paid online site for home users paired with a wider range of digital teaching tools for educators in the K–12 market. Today, more than half of U.S. students and teachers have access to Britannica content for the classroom, and half a million households subscribe to Britannica Online. When the company finally chose to end its print edition, it was simply because it was relevant to so few customers. “Our people have always kept the mission separate from the medium,” said Britannica President Jorge Cauz.<sup>7</sup>

A major ongoing example of value proposition adaptation can be seen in the *New York Times*, a journalistic institution founded in 1851 that many feared would not survive the dramatic shift to the digital age. Ever since the Internet made the distribution of content nearly free, news as a product

has looked more and more like a low-value commodity. The prices that publishers like the New York Times Company can charge advertisers have dropped dramatically as readers have moved away from print editions. At the same time, digital start-ups like BuzzFeed and Vox have proven more adept at generating viral sharing in social media. In 2011, the documentary *Page One* depicted the Times as an organization struggling to adapt to a digital future; in 2014, an internal innovation report was leaked, showing the company in the midst of rethinking its value proposition to customers in the digital age. The Times knew it still had unique value in the reporting abilities of its 1,300 newsroom employees and the credibility of its brand. But it knew that value would need to evolve.

Over several years, the Times has shown a steady commitment to rethinking journalism and finding new ways to add value for customers. It has pursued innovations in distributing its content via mobile apps and social media channels. It has experimented with new digital formats to help advertisers engage readers, including Page Posts based on a native advertising model. And its content has embraced new digital forms from blogs by diverse columnists to regular video content to interactive storytelling through data visualizations and interactive graphics. One watershed example is a dialect quiz developed with the help of a statistician intern and based on scientific research in the demographics of regional American vernacular. Combining the best of the Times' rigor with a BuzzFeed-like irresistible format, that quiz quickly became the publication's most read online article of all time. A few months later, the paper established The Upshot, a seventeen-person laboratory that is reimagining what a news story can look like.

The results of this years-long shift can be seen in a news organization that is clearly offering new value to readers whose media habits are rapidly evolving. By 2015, the Times' share price had rebounded 150 percent from its 2013 level; the company had \$300 million in net cash, and total revenue was growing again, thanks to digital subscribers and digital advertising.<sup>8</sup> That same year, the company announced it had reached over 1 million digital-only paid subscribers.

### *New Value + New Customers*

In some cases, a third route out of a shrinking market may be possible with both new value and new customers. Usually, this may come when a

dramatic shift in the value proposition succeeds in capturing a new market of customers.

One business that made such a leap is Williams, a leader for decades in the manufacture of pinball machines, those popular twentieth-century arcade games. With the emergence of electronic video games in 1972, the company realized that the entire pinball category could be headed toward irrelevance. It decided to reinvent itself by moving into a new kind of gaming that was just emerging: electronic gambling. By the time Sony's PlayStation had arrived and the pinball and arcade industries had collapsed, Williams had established itself with a string of hit casino games. Its new products attracted a different customer base—and a much more profitable one at that. After more than a decade of growth, the company was the third-largest manufacturer of casino slot machines when an even bigger competitor, Scientific Games, bought it for \$1.5 billion.

An even more remarkable example of revival through new value and new customers is Marvel Comics. Despite being the progenitor of such classic superheroes as Spider-Man, the Avengers, and the Fantastic Four, by 2004 the comic book company was facing an unpromising future. Youngsters were turning away from printed paper comics in favor of digital media. Licensing deals negotiated in the 1990s with vastly more powerful movie studios had provided only a modest lifeline of income (e.g., \$62 million for two Spider-Man films that grossed nearly \$800 million).<sup>9</sup> The company decided to take a leap and redefine its value proposition entirely by creating a movie studio to produce high-budget films featuring its own comic book characters. To raise capital, it had to put up its own rights to those characters as collateral. But the bet paid off with huge new audiences and financial success for such movies as *Iron Man*, *Thor*, and *The Avengers*. Once a struggling company making printed comics for a narrow base of enthusiasts, it had transformed into a major movie studio with an enormous fan base, an arsenal of sequels in production, and a small print publishing unit that could serve as a lab for testing new characters and storylines. Within five years, this burgeoning Marvel empire was purchased by the even larger Walt Disney Company for \$4 billion.

It is worth noting that in the cases of Williams and Marvel, a new customer base was discovered only after a reinvention of the value proposition (from pinball machines to gambling games, from pulp-paper superheroes to silver-screen blockbusters).

In the digital age, a mature business that is facing decline is less likely to uncover some previously unreached markets for its same products and

services. Digitization has simply removed too many barriers to entry for markets. The customers were already reachable. It is much more likely that adapting and extending the value of your offering is what will lead you into new markets. (Indeed, the New York Times Company has reached many more international readers as it pushes into digital delivery.)

In sum, for any business in a shrinking market, focusing on adapting its value proposition to provide new relevance to customers is absolutely essential.

### Adapt Before You Must

There is no need to wait for a crisis, though. Value proposition adaptation is a strategy that every business can apply even when it appears to be doing well. In a rapidly changing digital environment, it is worth remembering Andy Grove's maxim: "only the paranoid survive."

This attitude toward customer value can be clearly seen in today's digital titans, whether Google, Amazon, Facebook, or Apple. Even as they are achieving great success, they are looking ahead to shifts in customer needs and preparing to enter new markets with new value propositions. (This year's impregnable monopoly might be next year's declining incumbent—think Microsoft Windows.)

But we can find examples among pre-digital enterprises, too, that are focused on staying ahead of the curve of change.

Founded in 1870, the Metropolitan Museum of Art has long been one of New York's top tourist attractions. With over 6 million annual visits, it is far from in decline. But the museum is keenly aware that its audience's lives are changing dramatically due to the digital revolution in media and communications. It also knows that if it hopes to continue to be an integral and enriching part of people's lives, it needs to think differently about the value it provides. In 2013, my friend Sree Sreenivasan was hired as the museum's first chief digital officer, in charge of a team of seventy staff. Their task has been to extend and enrich the experience of the art in the museum for both the 6 million who walk through its doors and the 30 million who visit its website and digital properties each year.

For those inside the Met, this includes new mobile apps for discovering curator recommendations; mobile games for kids, like "Murder at the Met" (which challenges teens to study various artworks for clues to a mystery about a John Singer Sargent painting); and hashtags for visitors to use

when sharing their own photos of each exhibit on social media (#Benton-Mural or #AsianArt100). “Our audience was demanding it!” Sreenivasan told me. The museum is also using social media to engage those outside its halls—not just on Facebook and Instagram but also on Pinterest, where curators collaborate on joint pinboards, and on the Chinese network Sina Weibo, where the Met received 3 million views of its first sixty posts. Online interactive tools to explore the collection include the kaleidoscopic One Met. Many Worlds, which allows for keyword-based exploration in eleven languages, and the Timeline of Art History, a teachers’ favorite that receives one-third of all the museum’s Web traffic. Sreenivasan told me that they are still learning how best to engage their diverse audiences. “One thing we’ve learned is that everyone wants a peek behind the scenes.” After acquiring a seventeenth-century family portrait by Charles Le Brun, instead of working in secret to prepare it for exhibition, the museum began blogging and posting photos and videos that show the restoration work. One post showed Michael Gallagher, the head of painting conservation, using a cotton swab to clean the oxidized varnish off a baby’s toes. “Now you’re interested, because you want to see what happens to the rest of the painting,” Sreenivasan said. “And when you come to the Met, you’ll get to see that!”<sup>10</sup>

The Met is a perfect example of an organization changing before it has to and staying ahead of trends in customer needs. This kind of forward thinking and willingness to invest in new capabilities before an old business model falls into decline is essential to strategy today. My Columbia Business School colleague Rita McGrath describes this as strategy focused on “transient advantage” (in her excellent book *The End of Competitive Advantage*). In today’s world, no advantage enjoyed by any company can be treated as defensible for the long term. Instead, businesses need to think in terms of developing transient advantages, which drive profitability for a time but must be constantly buttressed by new value drivers as old positions of strength may quickly come under threat.

The speed with which a position of strength can flip to one of decline can be seen in the experience of Facebook. In 2012, the social networking colossus seemed to dominate the digital world, disrupting traditional media and advertising companies as it attracted a billion users and ever more hours of their precious attention each day. But just as it was preparing for its IPO, the firm disclosed in its securities filings that it faced a huge unknown threat: the shift of users to mobile devices. All of its revenue had been based on advertising on its desktop display. Companies like Google were struggling to retain the profitability of their advertising as consumers

switched to the small screen. Facebook had no mobile revenue at all. At the peak of its triumph on the desktop, the burning question was, How will Facebook deliver value to advertisers in a mobile world without turning off its users?

Facebook succeeded by adapting its value proposition for both audiences. For users, it added value through simplicity. Its mobile app kept the focus on the News Feed (the stream of posts by your friends) and split off other features into separate apps, like Messenger. When it bought photo-sharing app Instagram, it kept that separate as well. Within its main app, it dropped the website's sidebar full of countless cheap and irrelevant ads; it raised the price for the ads that remained and formatted them so they wouldn't overwhelm the user's field of vision. For advertisers, it similarly rethought the value it offered in mobile. It dropped the old ad formats that wouldn't work on a small screen and developed new ones like video ads, which performed much better. By harnessing its data with its new Custom Audiences, it allowed advertisers to, in effect, pay to reach just the right and most relevant audience, both inside Facebook and in ads placed anywhere else on the Web. The result: mobile advertising became the company's biggest growth engine, quickly taking over as its top source of revenue. Total profits soared, and the company's stock bounced back from a dip after the IPO, doubling in price over two years.

## Five Concepts of Market Value

Value proposition is just one of several strategic concepts available for thinking about your offerings and value to the market. But it is a particularly useful, and underutilized, concept. To better understand the concept of value proposition, let's compare it with four of the most common ways of thinking about market value (see table 6.2).

- *Product:* Thinking about products is something every manager is comfortable doing. If you're an automaker, you spend a lot of time thinking about your different models of SUVs, sedans, and minivans. Product thinking is useful (indeed essential) when making decisions about engineering, design, launch dates, pricing, and other factors as you prepare to go to market. But product is probably the most overused strategic lens in companies. Thinking about products can limit your vision. It allows you to ignore the customers who are actually using

Table 6.2  
Five Concepts of Market Value

| Concept           | Concept pros and cons ( <i>in italics</i> )                                                                                                                                   | Examples as applied to automotive                                                                                                                                                                                                                              |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Product           | Important in portfolio decisions<br><i>Ignores customers and value to them</i><br><i>Leads to strategic myopia</i>                                                            | SUV<br>Sedan<br>Minivan                                                                                                                                                                                                                                        |
| Customer          | Customer-centric<br>Helps identify whom to focus on<br><i>Not focused on value</i>                                                                                            | College student drivers<br>Parents with small kids                                                                                                                                                                                                             |
| Use case          | Value-centric and customer-centric<br>Helps with better segmentation<br><i>Obscures that a customer may have multiple use cases</i>                                           | Night out with friends<br>Driving and carpooling with kids                                                                                                                                                                                                     |
| Job to be done    | Value-centric and customer-centric<br>Helps identify nontraditional competitors<br><i>Lacks concrete specifics</i>                                                            | Safely and comfortably transport several kids from points A to B                                                                                                                                                                                               |
| Value proposition | Value-centric and customer-centric<br>Helps assess threats and ideate new innovations outside of existing products<br>More concrete and specific (includes multiple elements) | Reliable transportation<br>Accommodates several passengers<br>Safety in an accident<br>Personalization of car zones (e.g., for climate or audio)<br>Communication for driver (e.g., hands-free calling)<br>Entertainment for passengers (e.g., Wi-Fi or video) |

the product as well as the value that it may provide them. An excessive product focus has long been recognized as a source of what Ted Levitt called “marketing myopia,” where a company assumes it is in the business of making a particular line of products (e.g., daily newspapers) rather than being in the business of meeting a particular need (e.g., to stay informed).<sup>11</sup>

- *Customer:* Another very common approach is to think about your business in terms of your customers—who they are and how they differ from one another. This is certainly the first step toward becoming a customer-centric company. By focusing deeply on customers, you can

begin to learn which customers matter more, have different needs, and should therefore be treated differently. However, looking at traditional profiles and “personas” of customers (fictional stand-ins based on demographics, attitudinal data, and product consumption) can sometimes take the place of actually talking to flesh-and-blood customers to find out why they are using your products and what needs you may not yet be meeting. Again, you are still short of focusing on the value delivered.

- *Use case*: This concept arose in software engineering and is credited to Ivar Jacobsen,<sup>12</sup> but it has been applied more broadly in design and marketing. In the broader sense, a use case is the context within which a customer utilizes your product or service. For example, if your product is a minivan and your customers are parents with small children, one important use case is driving and carpooling with children. The use case concept combines a focus on the customer with a focus on the context, which helps you think about the value being delivered. However, it is important to recognize that the same customer may have different use cases for the same product (e.g., parents of small children may use the same minivan for a night out socializing with friends). But, used properly, use cases can lead to better customer segmentation and a focus on the value of your products in customers’ lives.
- *Job to be done*: This concept has been popularized by Clayton Christensen and Michael Raynor.<sup>13</sup> In the job-to-be-done framework, the concern is not just the context in which a customer is using a product but also the customer’s purpose for using it. By focusing on the underlying problem that the customer is trying to solve, your business becomes more customer-centric and more value-centric. You can also begin to identify nontraditional competitors: if the job your customer is “hiring” your minivan to do is to safely and comfortably transport their children from point A to point B, there could be another competitive solution besides a different brand of minivan. Perhaps Uber will develop a verified “child-safe” service that will become popular with overbooked parents. The fact that using the job-to-be-done concept results in a high-level summation is valuable (it can focus your thinking), but it can also sometimes be a limitation (it can lack specificity).
- *Value proposition*: This term was coined by Michael Lanning and Edward Michaels.<sup>14</sup> It has come to be used broadly in marketing and strategy as a concept that defines the benefits received by a customer from a company’s offering. Like job to be done, it is a concept that is

both value-centric and customer-centric. However, it is often used to identify multiple elements of value to the customer (that is how I will use it in this chapter's tool). For example, if the job to be done for parents by a minivan is to transport their children safely and comfortably, the value proposition you offer them could include several elements: reliable transportation, spacious accommodation for passengers, safety features for accidents, personalization of different zones in the car (for climate or audio), hands-free communication for the driver, and entertainment options for the passengers. By breaking the customer value down into more-concrete and more-specific elements, you can assess threats to each one (e.g., your minivan's entertainment options may become irrelevant to customers as their children acquire more portable devices) and innovate new elements that can be added.

All five of these strategic concepts are useful at different times in decision making and planning. (I certainly wouldn't recommend that you never discuss your product portfolio or customer segments.) But the value proposition is especially useful when you face the challenges of adapting and evolving your value to customers in response to changing needs and new opportunities posed by technologies. This is why it is used in this chapter's tool.

Now that you've seen the importance of value proposition adaptation for any business in today's fast-changing environment, let's take a look at a strategic planning tool for making this happen.

### Tool: The Value Proposition Roadmap

The Value Proposition Roadmap is a tool that any organization can use to assess and adapt its value proposition for its customers. You can use it to identify new and emerging threats as well as new opportunities to create value for your customers. It will help you synthesize those findings into a plan to create new, differentiated value in a changing landscape. Above all, if your company is under pressure, the tool will force you to challenge your assumptions, step back from focusing on defending your past business, and use your customers' perspective to imagine new ways forward.

The Value Proposition Roadmap uses a six-step process to map out new options for your business (see figure 6.3). Let's look at each of the steps in detail.

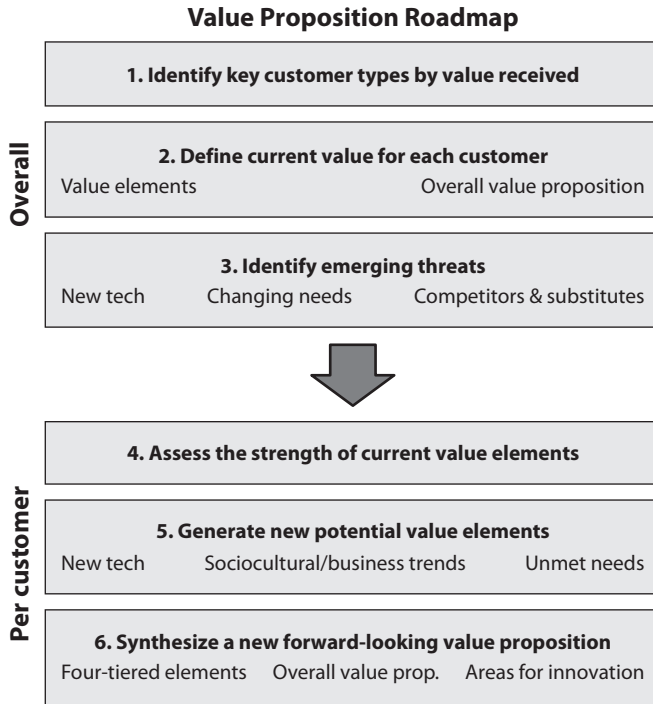


Figure 6.3  
The Value Proposition Roadmap.

### *Step 1: Identify Key Customer Types by Value Received*

The first step is to identify your key customer types, distinguished by the different kinds of value they receive from your business.

For a hypothetical University XYZ, for example, the key customer types might include undergraduate students, their parents, alumni, and employers (looking to recruit students and alumni). Note that each of these customer types gains somewhat different value from the university. For undergraduate students, the value may be a mix of education, social environment, and certification to help in job seeking. For alumni, the value of their ongoing relationship with the university may be based more on career networking or a sense of pride in the school's athletics, research efforts, or reputation. For employers, the value of the school may be in preparing graduates with certain skills (topical knowledge, critical thinking, or technical skills) as well as credentialing and assisting in finding the right recruits.

If you are having trouble identifying different customer types, look to differences in customers' motivations or jobs to be done (For what different reasons do they do business with me?) or in their use cases (In what different circumstances do they do business with me?). Looking at these is more useful than looking at differences in demographics (students come from all over the world; alumni are of all different ages; neither of these factors is as critical to their relationship with the university as the different kinds of value they receive).

### *Step 2: Define Current Value for Each Customer*

The next step is to define your current value proposition for each customer type.

This starts with a list of value elements—the various benefits that each customer type gains from the relationship with your business. After listing the value elements, write a summary statement of the value that this type of customer receives from your business—the overall value proposition.

In table 6.3, you can see value proposition definitions for University XYZ's key customer types.

Notice that nowhere in the university's value propositions is there a list of products or services or a list of fees paid or ways that it will monetize each customer type. Your value proposition should always be defined in terms of benefits that matter to your customers.

Notice also that each of the university's customer types has a distinct overall value proposition. Customer types may have some value elements in common (undergraduate students and alumni both care about a career network; parents and employers both care about credentialing). But no two customer types should have identical lists of value elements. If you arrive at identical value propositions for two customer types, dig deeper. If you still don't find a significant difference in the value they receive from your business, combine them into a single customer type.

### *Step 3: Identify Emerging Threats*

Now that you understand your current value to customers, it is important to understand emerging threats that could undermine it. They could do so by competing with the value you offer, substituting for it, or simply making it less important to your customers.

Table 6.3  
Value Proposition Definitions for University XYZ's Customers

| Customer type          | Value elements<br>(What benefits do they gain?)                                                                                                                                                                                                                                                                                          | Overall value proposition                                             |
|------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| Undergraduate students | Foundational knowledge (e.g., chemistry)<br>Exploration of interests/<br>self-discovery<br>Socializing and formation of<br>friendships<br>School pride (athletics, etc.)<br>Career network (peers who<br>will be part of their career<br>network after graduation)<br>Credentialing (i.e., a<br>degree, which provides<br>opportunities) | "Launchpad for your personal<br>and professional life as an<br>adult" |
| Parents                | Foundational knowledge (e.g.,<br>chemistry)<br>Critical thinking (e.g., writing,<br>analysis)<br>Credentialing<br>Career network<br>Career counseling and<br>assistance (to help their<br>children in finding a first<br>job)<br>ROI (average boost in<br>graduate's expected income<br>vs. total cost of education)                     | "Foundation for your child's<br>independence and career<br>success"   |
| Employers              | Foundational knowledge (e.g.,<br>chemistry)<br>Critical thinking (e.g., writing,<br>analysis)<br>Applied/job skills (e.g.,<br>programming languages)<br>Credentialing<br>Recruiting (helping them<br>recruit students on campus)                                                                                                         | "A source of talent for your<br>firm's long-term growth"              |
| Alumni                 | Career network (those met<br>during school as well as<br>fellow alumni met later)<br>Career counseling and<br>assistance<br>School pride (athletics,<br>professional reputation, etc.)                                                                                                                                                   | "A lifelong network and source<br>of pride"                           |

At this point, you are not looking for factors that you *know* will undermine your business but simply ones that *might* have the potential.

Following are three sources to consider for potential threats to your current value proposition:

- *New technologies*: Look for emerging technologies that seem relevant to your industry and your customers' experience. For the recorded music industry, the MP3 compression format was one such technology. For pinball machine maker Williams, early video games like Pong were identified as a potential threat to established games.
- *Changing customer needs*: These can include changes in consumers' habits, lifestyles, and social behaviors. Facebook recognized the shift in its users' computing time from desktop to mobile devices as a potential threat. For B2B companies, changing customer needs may include changes in laws, regulations, or the business environment. Think of Mohawk Fine Papers and the shift in financial reporting rules, which meant that its client businesses had less need of printed documents.
- *New competitors and substitutes*: A threat to your current value proposition can often come from an asymmetric competitor entering from another industry. For Encyclopædia Britannica, Inc., that included Microsoft, when the software maker bundled a free encyclopedia with its operating system. Other times, the new entrant may substitute for your value proposition by meeting your customers' need in a new way. The publishers of *The Deseret News* saw this as websites like Craigslist filled the need that used to be met by newspaper classified ads.

In table 6.4, you can see emerging threats to University XYZ from each of these three sources.

The rest of the tool will focus in detail on each of your customer types. You may want to start by completing steps 4 through 6 for a single customer type and then repeat the process for the next customer type. Alternatively, you can analyze all your different customer types as you go through each step.

#### *Step 4: Assess the Strength of Current Value Elements*

At this point, you should return to the lists of value elements you developed for your customer types in step 2. You can now assess the strength of the specific elements of value that you provide.

Table 6.4  
Emerging Threats to University XYZ's Value Proposition

| Source                          | Examples                                                                                                                                                                                                                          |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| New technologies                | Video<br>Podcasts<br>Telepresence<br>MOOCs                                                                                                                                                                                        |
| Changing customer needs         | Millennial students seeking more digital, anytime experiences<br>Alumni needing more lifelong learning<br>Employers seeking different skills for new job hiring<br>Government funders looking for more measurable economic impact |
| New competitors and substitutes | Universities offering purely online degrees: ASU Online, etc.<br>Nonuniversities offering online courses: Coursera, etc.                                                                                                          |

For each value element that you listed, ask three questions:

- *Are there any ways that this is a source of decreasing value to the customer?* This decrease could come from one of the emerging threats identified in step 3 (a new technology, customer need, or competitor). Other factors could include declining relevancy to the customer, cheaper options, and underinvestment by your business (e.g., if cost cutting has led you to deliver less value here than in the past).
- *Are there any ways that this is a source of increasing value to the customer?* New innovations by your business may mean you are increasing the value you deliver through this particular element. Or the value may be increasing due to this element's growing importance to the customer, scarcity in the market, or differentiation compared to your competitors.
- *What is the overall verdict?* Based on these combined factors, you should now make an overall assessment for each value element. Is it strong (still a powerful source of value for your customer); challenged (under threat and perhaps not as strong a source of value as in the past); or disrupted (no longer relevant or meaningful to this customer type and uncertain to recover in value).

This process should provide a clear assessment of the strength of your current value elements. Table 6.5 shows University XYZ's assessment of value elements for its undergraduate students.

Table 6.5  
Assessing the Strength of University XYZ's Current Value Elements

Company: University of XYZ

Customer type: Undergraduate students

Overall Value Proposition: "Launchpad for your personal and professional life as an adult"

| Value element                                                                    | Decreasing value to customer?                                                                                                                       | Increasing value to customer?                                                                   | Overall verdict |
|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|-----------------|
| Foundational knowledge (e.g., chemistry)                                         | Large introductory lecture classes have worst ratings<br>MOOCs provide cheaper access to this content<br>Best students are testing out via AP exams |                                                                                                 | Challenged      |
| Exploration of interests/self-discovery                                          |                                                                                                                                                     | New internship and study-abroad programs have had very strong interest                          | Strong          |
| Socializing and formation of friendships                                         | More socializing happens through online networks (but not all)                                                                                      |                                                                                                 | Challenged      |
| School pride (athletics, etc.)                                                   | Less relevant to many students (rank low on surveys)<br>International students not participating                                                    |                                                                                                 | Challenged      |
| Career network (peers who will be part of their career network after graduation) | Underinvested for several years (no strong programs to support students)                                                                            |                                                                                                 | Challenged      |
| Credentialing (i.e., a degree, which provides opportunities)                     |                                                                                                                                                     | Reputation continues to be strong<br>Is attracting increasing numbers of international students | Strong          |

### *Step 5: Generate New Potential Value Elements*

Your next step is to try to identify new value elements that you could offer to this customer type. This is a chance to examine some of the external forces that may be weakening your value proposition and use them as a source of opportunity for new value that you can create for your customers.

Table 6.6  
Generating New Value Elements for University XYZ's Undergraduate Students

| Source                         | Examples                                                                          | Possible new value elements                                                                                                                                 |
|--------------------------------|-----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| New technologies               | Video, podcasts, MOOCs<br>Telepresence                                            | On-demand learning experiences<br>(e.g., versions of large lecture classes)<br>Telepresence to provide more<br>internship and professional work<br>exposure |
| Trends in customer environment | Millennial students seeking more<br>digital, anytime experience                   | Micro-classes to explore student<br>interests between semesters before<br>enrolling in classes                                                              |
| Unmet customer needs           | Career counseling<br>Interpersonal skills coaching on<br>“emotional intelligence” | New “life coaching” program that<br>combines career and social skills                                                                                       |

To generate new value elements that you could offer to your customers, look in three areas:

- *New technologies*: How could new technologies allow you to create additional elements of value for your customers?
- *Trends in your customers' sociocultural or business environment*: Consumer lifestyle and business trends may provide new opportunities for you to create value, even with the same products.
- *Unmet customer needs*: Get close to your customers. Observe them directly. Talk to lead users. You're sure to find some unmet needs that no one is fulfilling; one of them may be an opportunity for your business to add new value.

Table 6.6 shows some new value elements that University XYZ might consider adding for its undergraduate students.

### *Step 6: Synthesize a New Forward-Looking Value Proposition*

The final step of the Value Proposition Roadmap is to synthesize everything you have learned about your value proposition for each customer type.

Review your value elements, and place each into one of four columns:

- *Core elements—to build on:* These elements are a source of strength that you plan to use as a focus of continuing innovation.
- *Weakened elements—to bolster:* These are current value elements that are losing their impact for your customers and that you have chosen to try to reinforce and improve.
- *Disrupted elements—to deprioritize:* These are former sources of value that have lost their ability to deliver for your customers and that you have chosen to move away from and drop from your strategic focus.
- *New elements—to create:* These are new value elements that you have identified as opportunities to add more value for your customers and that you have chosen to invest in for future growth.

Now you can craft a revised overall value proposition for each customer type. This should be a forward-looking statement of how you intend to create value as you continue to evolve your offerings for this particular customer type. Finally, list any ideas you have for specific initiatives (new product features, service offerings, etc.) you can use to deliver on your revised value proposition.

Table 6.7 shows a new forward-looking value proposition for University XYZ's undergraduate students.



If you are looking at your customer types separately, you can now go back and complete steps 4–6 of the tool for the remaining customer types that you identified in step 1.

When you have finished, you will have in your hands a complete roadmap for adapting your value proposition. This roadmap includes a strategic analysis of emerging threats, an innovation brief that can be used by those working on your next-generation products and services, and a customer-centric analysis of where your business is today and where it is going in the future.

If applied as a regular part of strategic planning, the Value Proposition Roadmap can be a helpful tool for anticipating customer needs, assessing new technologies proactively, and applying resources to new strategic opportunities.

## Organizational Challenges of Adapting Your Value Proposition

The benefits of continuously adapting a business's value proposition may be clear. But that does not make it easy. It requires the business to step outside

Table 6.7  
Synthesizing University XYZ's New Value Proposition

Company: University of XYZ

Customer type: Undergraduate students

Existing Overall Value Proposition: "Launchpad for your personal and professional life as an adult"

| Core elements—<br>to build on                          | Weakened<br>elements—<br>to bolster                                                                                                                                                                                                                                                                                                                              | Disrupted<br>elements—<br>to deprioritize                 | New elements—<br>to create                                  |
|--------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------|-------------------------------------------------------------|
| Exploration<br>of interests/<br>self-discovery         | Foundational<br>knowledge<br>(especially large<br>lectures)                                                                                                                                                                                                                                                                                                      | Expensive school<br>pride events and<br>social activities | On-demand<br>learning and<br>preprofessional<br>experiences |
| Credentialing and<br>international<br>brand reputation | Peer network for<br>careers                                                                                                                                                                                                                                                                                                                                      |                                                           | Career and personal<br>"coaching"                           |
| Revised Value<br>Proposition                           | "Your launchpad for personal discovery and professional success"                                                                                                                                                                                                                                                                                                 |                                                           |                                                             |
| <i>Specific areas for<br/>innovation</i>               | On-demand learning experiences (e.g., versions of large lecture classes)<br>Expanded international internships and telepresence-based work<br>projects<br>Online micro-classes for students to explore interests between semesters<br>"Life-coach" program for final two years that combines career and<br>social skills<br>Alumni-to-student mentoring programs |                                                           |                                                             |

the inward-looking habit of focusing on its own products and processes and, instead, to take the point of view of the customer. It also requires the business to imagine a version of itself that is different than what perhaps worked very well in the past. In particular, a larger or longer-established organization may find it much harder to gain a clear view of its value to the customer and of the opportunity, and necessity, to adapt while it still has the chance.

### *Dedicating Leadership*

The first challenge for value proposition adaptation is leadership. Who will be in charge of making the change happen? Even when a strategy team is effectively set up to identify opportunities for evolving the business's value proposition, someone needs to be in charge of acting on the new opportunities. For years, the U.S. Postal Service has struggled to balance its

finances as technology has changed the needs of customers for its services (When did you last send anyone a post card?). In 2014, its inspector general released a report arguing that the USPS should move into providing nonbank financial services (bill payments, money orders, prepaid cards, international money transfers, etc.) to its customers, many of whom are underserved by traditional banks.<sup>15</sup> The report was praised in the press, on Capitol Hill, and even in the pages of *American Banker*.<sup>16</sup> But more than a year later, no action had been taken, despite support for the idea from the American Postal Workers Union. A newly sworn-in postmaster general had focused on the current value proposition (e.g., whether to trim Saturday mail delivery), but no one appeared to be in charge of turning innovative ideas for new customer services into a reality.<sup>17</sup>

Leadership tenures may be another important factor in value proposition adaptation. As Henry Chesbrough has observed, many large firms move their general managers in two- or three-year rotations among different business units in order to develop their leadership and knowledge of the whole firm. However, undertaking significant change to a unit's value proposition or business model often takes more than two years. These kind of short-term leadership roles encourage managers to simply continue to optimize the existing model rather than pushing the company to adapt for the future.<sup>18</sup>

### *Allocating Talent and Treasure*

Another key challenge for an organization seeking to adapt is the need to allocate the necessary human and financial resources away from existing areas of business and into new, unproven ventures.

New managers with appropriate skills and authority are often the driving force behind new strategic direction. At the New York Times Company, adapting the value proposition of its business for both readers and advertisers required organizational changes as well. The company hired Alexandra MacCallum, founding editor of the digital Huffington Post, to lead a unit focused on audience development in an age of social media. Chris Wiggins was named chief data scientist and assigned to help guide a burgeoning engineering division. Its job was to harness data and analytics to help inform decisions by both editors and publishers on the Times' content, distribution, audience, and new advertising products.

Often, adapting a business's value proposition requires changing the lines of reporting of existing employees. When Facebook began its strategic shift to focus on the best mobile experience for users and advertisers, it had to redesign the organization chart for the company's engineering teams. In the old organization, the desktop team led the development of each new feature, and separate teams handling mobile apps for iOS and Android were left to play catch-up. To support the new strategy, all engineers were reassigned to teams focused on a single Facebook feature (photo albums, group messages, upcoming events, etc.) so they could build it for both mobile and desktop from the very beginning.<sup>19</sup>

Financial resources must also be allocated carefully to support the evolution to new value propositions. This often requires leveraging revenue or assets from existing units to finance the launch of new ones. During Williams's strategic transition, the firm was simultaneously taking money out of its existing pinball machine business and launching its first casino games. Marvel Comics had to leverage its prized rights to its comic book characters as collateral to secure funding for its move into film producing. This kind of transition is critical. McGrath describes this as a process of "continuous reconfiguration" of assets, people, and capabilities as businesses adapt from one transient advantage to another.<sup>20</sup>

### *Avoiding Myopia*

Perhaps the biggest challenge to adapting the value proposition of an organization is that it requires looking beyond the conventional wisdom of its current business. Bold new opportunities (like selling music as digital files over the Internet rather than as physical products) can often provoke a response of "That's not how we do things around here!" To paraphrase entrepreneur Aaron Levie, "Businesses evolve based on assumptions that eventually become outdated. This is every incumbent's weakness and every startup's opportunity."<sup>21</sup>

Numerous psychological experiments have illustrated the power of confirmation bias. When faced with new information, we have a strong tendency to selectively notice facts that fit our preexisting theories of the world and to discount or filter out the ones that conflict. Think of the pinball machine industry. When computer games first arrived in arcades, pinball machine sales actually improved temporarily because the new games

were bringing in more customers. It would have been easy for Williams to have concluded that video games posed no threat to its legacy business. Actually, that is what their competitors concluded; almost all of them vanished while Williams was making its pivot to casino gaming.

Avoiding myopia requires a business to take the customer's point of view rather than its own. This kind of customer-centric thinking is difficult, as an organization naturally focuses its energy and attention on its own processes, strategies, and immediate self-interest. If a company has been making encyclopedias for 200 years, it would be easy for it to focus on all the hard work that goes into making them and to wish customers would just pay for its new CD-ROM version rather than cultivating the perspective to see that its CD-ROM isn't really the best solution for those customers.

To cultivate the customer's point of view, a business needs to institutionalize listening to its own customers, particularly lead users (as discussed in chapter 4). These avidly involved customers actually drive most commercially successful new innovations because they tend to face new needs earlier than the general population.<sup>22</sup>

The challenge, though, is often not in finding the right customers to listen to but in keeping our ears open. My friend Mark Hurst has spent his career trying to help companies develop customer empathy through direct customer observation. "The difficult truth is that customers often bring the bad news when something is wrong," Hurst says. "Some executives simply don't want to hear it."<sup>23</sup>



In a world of rapidly changing technology and customer needs, it is no longer sufficient for a business to deliver the same value that has brought it success in the past. A rapid pace of change demands that every business continuously adapt how it serves its customers, what problems it solves, and what value it delivers. By taking a truly customer-centric attitude, a business can stay ahead of the curve of change. If it can learn to continuously reevaluate the value it delivers, identify changing customer needs, and spot emerging opportunities, it can continue to be the most valuable option for its customers.

We have now examined all five domains of digital transformation. We have seen, in detail, how businesses today need to think quite differently about customers, competition, data, innovation, and value to customers. By applying new tools and concepts to each of these five domains, any

organization can move beyond the assumptions of the analog age. By transforming its strategic thinking across the five domains, any business can adapt and create new value in the digital age.

But success in the digital age also requires us to prepare for the unexpected: the most challenging ruptures and dislocations that can strike any industry. This requires a clear understanding of what we mean when we talk about business *disruption*. That concept is surrounded by many misconceptions. True business disruption does not happen every day. But there might be times when a business must face a truly disruptive challenge—an asymmetric threat that radically undermines its current position, calling into question its core value proposition and threatening to make it unattractive to customers or, worse, irrelevant. In such times, that business needs additional tools: a theory to understand the difference between competition and true disruption, a rubric to assess any potentially disruptive threat, and a guide to judge what the appropriate response is.

The prevailing theory of disruption, developed just as the Internet age was dawning, was based in the prior revolutions of the late industrial and early information ages. Successful leadership today requires an updated theory of disruption for the digital age. That is the subject of the next and final chapter.